

TOP 10 TIPS FOR YOUR TOP 10 **CUSTOMERS**

DAVID VENTURA & PHIL JESSON



**LOOK
AFTER YOUR
MOST IMPORTANT
CUSTOMERS
BEFORE
SOMEONE ELSE
DOES!**

Top 10 Tips For Your Top 10 Customers

**A Key Account Management
Handbook**

The **SYSTEMS**
The **STRATEGIES**
The **SKILLS**

By David Ventura & Phil Jesson

© 2019 KAMguru

Tip six: Become an expert in their world

Remember the challenge from chapter two in this book.....i.e. if a key account customer asked you to deliver a short presentation on your understanding of their business, could you do itetc etc?

Maybe a simple, one-page understanding of the key account's business showing where they are now, where they are going in the future, how they intend to get there and the role you could play in that journey would help?

Have a look at the diagram below. Although it is tempting to get immersed in the details, try not to do that. It is the structure of the diagram that we want to draw your attention to. This was one of our key accounts a couple of years ago. We needed to understand exactly what was going on in the customer's world, before we found ourselves pitching to them in their board room.

TODAY	1. CUSTOMER					FUTURE		
• £52m Turnover	SERVICE EXPERIENCE	ACQUISITION	K.A.M.	BRANDING	MARKET RESEARCH	• £72m Turnover		
• 22% Margin						• 25% Margin		
• 3 Main Services						2. SERVICES		
• 3 Main Markets	TECHNOLOGY PRODUCTS		LIFE-CYCLES		INTEGRATED SOLUTIONS	• 3 Main Markets		
• Confused Identity						• Clear Identity		
• Contract Loss Rate 17%	3. PEOPLE					• Contract Loss Rate 10%		
• 2200 Staff	CULTURE	STRUCTURE	COMMUNICATION		SUCCESSION	RECRUITMENT	• To be in Top 100 Companies to work for	
• 3000 Customers inc. 12 Key Accounts							• 3600 Customers inc. 100 Key Accounts	
• No. 8 in the Market	4. SYSTEMS						• No. 1 in Chosen Market	
• Staff Turnover 25%	C.R.M.		REAL-TIME FINANCIALS		PERSONNEL/ PURCHASING	• Staff Turnover 20%		

1. Down the left-hand side of the diagram, in the TODAY column, is a ten-point summary of where the key account is today.
2. Down the right-hand side of the diagram, in the FUTURE column, is a ten-point summary of where the key account wants to be in the future. The word “future” can mean anything, but in this particular example it means two years.
3. So, in order to get from the left to the right over a two-year period, the key account has four main “strategic bridges” in place..... i.e. CUSTOMERS, SERVICES, PEOPLE AND SYSTEMS. You don’t have to have four strategies, of course, but in this example the customer happens to have four.

The lowest number of strategies we have ever seen is two and the highest is eight, which is not surprising really, as these are the major business processes at work here.

4. Sitting within each of the four strategies are a number of projects. For example, the Services strategy has three projects going on.....i.e. Technology Products, Life Cycles and Integrated Solutions. At this stage of our explanation, you might be thinking “where on earth did that information come from?” Well, if you are talking to the right people at the right time and asking the right questions in the right way and listening effectively, why wouldn’t you have this level of understanding?

“A wise old bird sat on an oak. The more he saw, the less he spoke. The less he spoke, the more he heard. Why aren’t we like that wise old bird?”

~ Edward Hersey Richards~

5. So now put yourself in our shoes. We checked out the accuracy of our Strategic Bridges diagram with some friendly and supportive allies within the account. Interestingly, they commented on a couple of areas that we had got completely wrong, but with their help we were then able to change our understanding before we found ourselves in the customer's board room where we knew that a couple of attendees were strongly in favour of giving the business to one of our competitors.
6. A diagram like this makes selling so much easier. All we had to do was to say "If we have understood your business correctly this is where you are today (left-hand column) and this is where you are going in the future (right-hand column). You have told us that you have four strategies in place to deliver your desired future and a number of projects going on in each one.....which is very interesting because we can help you with five (shaded) areas.....Service Excellence, KAM, Culture, Communication and Succession." These were the areas where we then provided a range of consultancy, training and coaching services.
7. Interestingly, with this particular company, we also found ourselves saying "You have told us that Market Research and Recruitment are things you will need to look at in the future.....we don't provide either of those services, but we know people who do. Would you like us to connect you with them etc etc?" Not surprisingly, the customer jumped at the opportunity and really appreciated the extra value i.e. us saving them time, money and hassle.
8. You could say that the five shaded areas are the five "jigsaw pieces" that we were waiting to lay down and explain. You would be right. But the key point here is that we needed something else before we knew exactly when and how to play our jigsaw pieces.....

...we needed to understand the “picture on the box” of the jigsaw.....and that is what the Strategic Bridges concept is designed to do.

- Life is often about timing so let's look at the best times of the year to be having “Strategic Bridges conversations”.

You might want to build the diagram when you are trying to win the business in the first place (as it screams “we understand your world better than anyone else you will ever talk to!”)

- You might want to build it if the ownership of the company changes and you need to be seen to be “starting again” with the new decision makers, rather than relying on your track record and past glories.
- In the case of a family business, you might want to build the diagram to assist the exit of the owners. For example, if the owners wanted to sell the business in five years' time, you could build the diagram as a five-year journey, not the two-year journey on our example.
- When building it with a major key account, you might want to facilitate an Annual Strategic Review, built around the start of the customer's new business year.

There might be an action point here. Could your account managers tell you the dates of their key accounts' business years? How about a white board, or something visible on the system, that displays these key year-end/start dates well in advance?

- One of the advantages of using a label like “Annual Strategic Review” is that some senior decision-makers will attend the meeting due to the “strategic” nature of it. These could be people who have been avoiding your regular “routine” review meetingsnow delegated to managers lower down the tree.

You can have great fun with this concept. One of our clients in Warrington decided to carry out Annual Strategic Reviews with their top ten clients using an “away-day” format and seven of their clients agreed to do it. What a fabulous result for a first attempt. Imagine the scene.....there they were, in a nice country hotel with plenty of coffee and biscuits, with three flip charts in the room representing the main components of the diagram. At the start of the meeting, only two flip charts were visible. On the left was the “Today” flip chart and on the right was the “Future” flip chart.

Once completed, our client moved the two flip charts apart and placed a third flip chart in the gap.....i.e. the flip chart that would develop and record the strategy and projects that would become the middle of the diagram. Apparently, everyone enjoyed the meetings which were informal, friendly, laced with banter and with plenty of enthusiasm and goodwill. The meetings concluded with a light-bite and an early finish (which sounds like the perfect day, doesn't it?)

To summarise, would you want to build a Strategic Bridges understanding for each and every customer.....no! But would you want to build this level of understanding for each of your top three, top five or top ten key accounts.....absolutely yes, yes, yes!

CONCLUSIONS:

- If you are an expert in the customer's world you never have to sell again!
- Understand the 3Ps.....the customer's problems, pressures and priorities, then help them to find the right solutions (including yours!)
- You should have ideas and solutions to problems the customer doesn't yet know they have
- Customers are not really interested in your business – they are paying you to learn more about their own
- The only way to sell more of your products and services is to stop talking about your products and services.....talk about their stuff!



TOP 10 TIPS FOR YOUR TOP 10 CUSTOMERS

ALTHOUGH THE WORLD IS CHANGING RAPIDLY, THIS BOOK IS BASED ON A TIMELESS BUSINESS PRINCIPLE... LOOK AFTER YOUR MOST IMPORTANT CUSTOMERS BEFORE SOMEONE ELSE DOES!

In the future, many customers will be managed by technology on a transactional basis, but the larger key accounts (often the 20% of customers generating 80% of the business) will be managed through transformational, strategic partnerships based on rapport, trust, added value and deep understanding. The winners of the next decade will be companies who know more about their customers than the customers themselves know!

KEY ACCOUNT MANAGEMENT has therefore never been more important and **TOP 10 TIPS FOR YOUR TOP 10 CUSTOMERS** explains how to:

- Work as an exceptional partner, rather than ordinary supplier.
- Defend, retain and develop your most important strategic relationships.
- Stand out from your competitors rather than stand up to them.

"This book covers the strategies, systems and skills needed to position key account management as a profitable differentiator within the business. During my career, I have deployed KAMGURU on many occasions and their handbook is a great addition to the training course and conference content that has educated and motivated my people over the years. I think the book is a must-have for all senior sales leaders and their teams today!"

— Dave Sharratt, Vice President Global Sales, Honeywell Productivity Products

"I really enjoyed the relaxed but structured nature of the book. There were plenty of lessons for me, along with suggestions on how to improve. I loved the numerous stories, examples and analogies and chapter six on "becoming an expert in their world" includes the best pages of an educational book I have ever read. A really great read with dozens of simple and practical ideas that I am now implementing with my key accounts.

— Chris Sissling, Senior Key Account Manager, adidas



www.kamguru.com

